

↓ FILING YOUR TAX RETURN

The term **filing** simply means filling out your tax forms and sending them to the IRS, the government agency responsible for collecting taxes.

Although your employer subtracts money for taxes from your paycheck during the year, the amount withheld is generally an estimate, not the exact amount of tax you actually owe. By filling out tax forms, you learn whether you still owe the IRS some money or whether the IRS owes you a refund, and then you (or the IRS) write the appropriate check.

April 15 is the last day you can file a tax return and pay tax for the previous calendar year without having to pay interest or a penalty. (In years when that date falls on a Saturday or Sunday, the IRS allows you to file up until the following Monday.) If you owe the IRS money and miss the April 15 deadline, you may have to pay interest and a penalty on the money you owe.

Start getting your paperwork together early in the year. By the end of January, your employer will have sent you a **W-2** form that shows your gross wages and the amount of tax that was withheld from your paycheck over the course of the previous year. Your bank, mutual fund company, and/or brokerage will each send you a **1099** form, which lists the interest, dividends, or capital gains you earned during the year. If you've done freelance work, you'll probably receive a 1099 from each of the companies you did the work for. Compare your pay stubs or direct deposit records and financial statements to your W-2 and 1099s to make sure the figures are accurate. Save these forms in a folder marked "Tax Returns," and create a new folder for each tax year. When it's time to fill out your tax return, you'll be ready to do it.

PAPER-FREE FILING

You don't have to wait in long lines at the post office on April 15. Most people now find it easiest to fill out and file their returns online. If you decide to **e-file**, you have a few options. First you can go to www.irs.gov and search for "e-file for Business Partners." The